

These mutual funds are called equity-linked savings schemes (ELSSs) and are my favourite for long-term investing while getting a tax break. We'll hear a lot more about funds in the chapter on mutual funds. Of course, if you are part of the really well off, you don't need to do anything. Your provident fund contribution of up to Rs 1.5 lakhs will be taken as the tax-saving amount – giving you the same benefit as a dud insurance plan.

Which policy to buy and how to buy it?

Now that you fully get the story – that you need a life insurance cover that is at least 8–10 times your annual take-home income, and that you need to buy *a cover that gets you till you are financially independent* – the next question stands up: What policy to buy? Are private sector insurers 'safe'?

The policy you buy is a mix of getting a cheap plan from a company that is known to honour its claims. Why cheap? Term insurance is a pure vanilla product. You pay a premium; if you die, the company hands over a fat cheque to your spouse. Since this is a long-term contract – usually a twenty- to twenty-five-year policy term (remember, we're getting you a cover till your retirement) – the cheaper you buy the better it is. Also, once you buy a policy at a particular price, you get locked into this price (unlike the medical policies in the previous chapter). Consider inflation, and the premium you pay after fifteen years is worth just half of the rupees you pay in real terms.

Rule One: Get a cheap plan. The online plans are the cheapest since they remove the agent commission (up to 42 per cent of your first-year premium) – from the price of the insurance. When term plans were launched online some years ago, the prices dropped by almost half! A policy sold by an agent costs twice as much as the policy you buy online.

We changed our policies midway from an agent-bought-one to an online one some years back. We were older and we got more cover, but the online price was only a little over the price we were paying for the older policy. We let go of the old policy and bought a new one. Luckily, we've not used it. And hope that money gets 'wasted' and goes down the drain.